

federal regulations. These plans are absolute obligations to pay—like bonds. (In profit-sharing plans there's no such obligation: no profits, no sharing.)

Even if a company goes bankrupt and ceases normal operations, it must continue to support the pension plan. Before I invest in a turnaround, I always check to make sure the company doesn't have an overwhelming pension obligation that it can't meet. I specifically look to see if pension fund assets exceed the vested benefit liabilities. USX shows pension plan assets of \$8.5 billion and vested benefits of \$7.3 billion, so that's not worrisome. Bethlehem Steel, on the other hand, reports pension assets of \$2.3 billion and vested benefits of \$3.8 billion, or a \$1.5 billion deficit. This is a big negative if Bethlehem Steel gets into deeper financial trouble. It would mean that investors would put a lower value on the stock until the pension problem was cleared up.

This used to be a guessing game, but now the pension situation is laid out in the annual report.

GROWTH RATE

That "growth" is synonymous with "expansion" is one of the most popular misconceptions on Wall Street, leading people to overlook the really great growth companies such as Philip Morris. You wouldn't see it from the industry—cigarette consumption in the U.S. is growing at about a minus two percent a year. True, foreign smokers have taken up where the U.S. smokers left off. One out of four Germans now smokes Marlboros made by Philip Morris, and the company sends 747s full of Marlboros to Japan every week. But even the foreign sales can't account for Philip Morris's phenomenal success. The key to it is that Philip Morris can increase earnings by lowering costs and especially by raising prices. That's the only growth rate that really counts: earnings.

Philip Morris has lowered costs by installing more efficient cigarette-rolling machinery. Meanwhile, the industry raises prices every year. If the company's costs increase 4 percent, it can raise prices 6 percent, adding 2 percent to its profit margin. This may not seem like much, but if your profit margin is 10 percent (about what Philip Morris's is) a 2-percentage-point rise in the profit margin means a 20 percent gain in earnings.

(Procter and Gamble was able to "grow" its earnings in toilet paper by gradually changing the character of the paper, in effect adding ridges to the sheets, making them softer and slowly reducing the roll from 500 to 350 sheets. Then, they marketed the smaller roll as a "squeezable" improvement. This was the cleverest maneuver in the annals of short sheeting.)

If you find a business that can get away with raising prices year after year without losing customers (an addictive product such as cigarettes fills the bill),